FINANCIAL MODELLING REPORT

VARUN BEVERAGES LIMITED

NSE: VBL | BSE: 540180

PREPARED BY

Dishita Jain

VALUATION DATE

18 September 2026

LAST AUDITED FINANCIAL YEAR

Dec 2025 (CY25)

CURRENCY / UNITS

INR million (unless stated)

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Sources: Company annual reports, Screener.in, Moneycontrol, Yahoo Finance,Trendlyne,The Economic times, NYU Stern(Damodaran) and Ticker.

This report is prepared for educational purposes only and does not constitute investment advice.

VARUN BEVERAGES LTD

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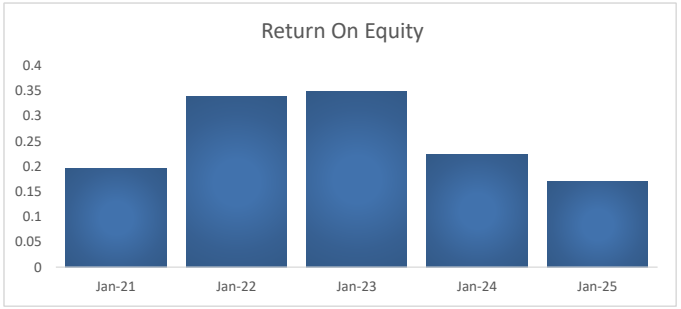
VBL | BSE Code: 540180 — Company Snapshot

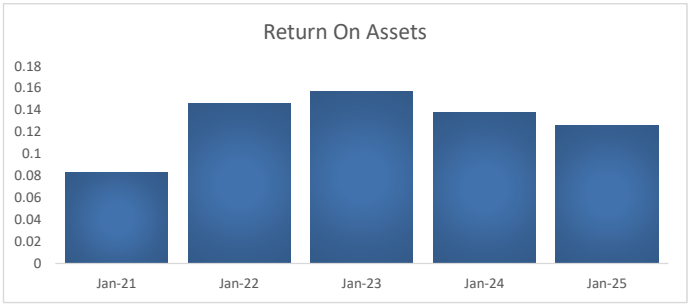
Current Price (Rs.)	₹ 421.95	52 Week High	₹ 558.00	52 Week Low	₹ 381.00

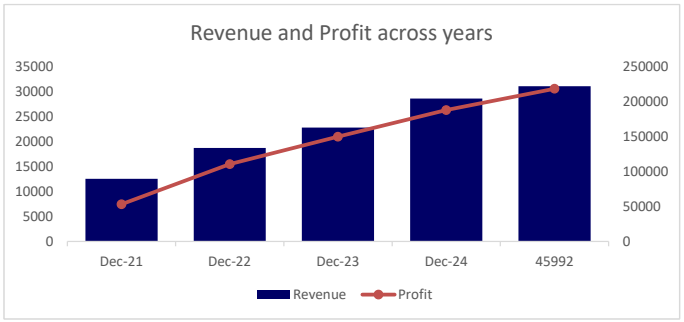
Varun Beverages Limited, together with its subsidiaries, manufactures, bottles, sells, and distributes beverages under the PepsiCo brands in India, Sri Lanka, Nepal, Zambia, Morocco, Zimbabwe, the Democratic Republic of Congo, Mozambique, South Africa, Lesotho, Eswatini, Namibia, and Botswana. The company offers carbonated soft drinks under the Pepsi, Pepsi Zero, Mountain Dew, Mirinda, and Seven-Up brands, as well as the Refreshhh, Coo-ee, and Jive brands; fruit pulp and juice-based drinks under the Slice, Tropicana, Tropicana Delight, and Seven-Up Nimbooz brands; club sodas under the Evervess and Duke's brands; and energy drinks under the Sting, Adrenaline Rush, and Rockstar brands. It also provides sports drinks under the Gatorade brand; carbonated juice-based drinks under the Seven-Up Nimbooz Masala Soda brand; ice-tea under the Lipton brand; packaged drinking water under the Aquafina and Aquavess brands, as well as the Refreshhh and Aquaclear brands; and snacks under the FritoLay, Cheetos, Doritos, Simba, and Kurkure brands. In addition, the company offers energy drinks under the Reboost Energy brand; and value-added dairy-based beverages under the Cream Bell brand. Varun Beverages Limited was incorporated in 1995 and is based in

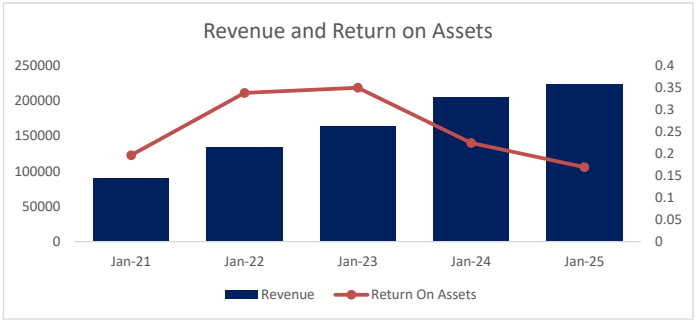
Financial Summary (2021-2025)

Metric	Dec-21	Dec-22	Dec-23	Dec-24	Dec-25	Trend
Revenues (INR Millions.)	89,583	1,33,906	1,63,211	2,04,813	2,22,256	
Profits (INR Millions.)	7,461	15,501	21,018	26,343	30,620	
Average Total Assets (INR Mn)	90,201	1,06,001	1,34,027	1,91,655	2,43,545	
Return on Equity (%)	19.6%	33.8%	34.9%	22.4%	16.9%	
Return on Assets (%)	8.3%	14.6%	15.7%	13.7%	12.6%	
Financial Leverage (x)	2.37x	2.31x	2.23x	1.63x	1.35x	









Recent Updates (Q2 2026)

1.Varun Beverages Ltd (NSE:VBL) reported a strong performance with a 19.8% increase in consolidated sales volume and a 20.4% increase in net revenue from operations.
2.The company extended its exclusive bottling and trademark license agreement with PepsiCo in India until April 2049, enhancing long-term partnership and operational flexibility.
3.Varun Beverages Ltd (NSE:VBL) remains net debt-free in India, with surplus cash of Rs 14,941 million, and has a strong credit rating reaffirmed by Crystal AAA Stable.
4.International business maintained strong momentum, with significant contributions from Twizza in South Africa and an agreement to acquire Devyani Food Industry Kenya Limited.
5.EBITDA margin declined by 76 basis points year-on-year, primarily due to the consolidation of the Twizza business, which operates at lower margins.

Source:Screener.in,moneycontrol and YahooFinance

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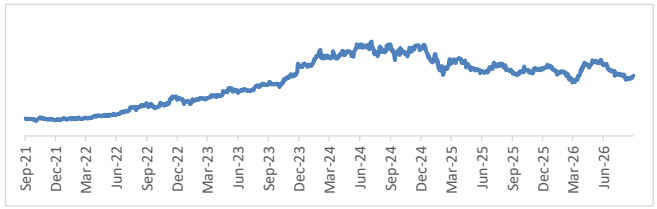
VARUN BEVERAGES LTD — One Page Profile

Varun Beverages Ltd has been associated with PepsiCo since the 1990s and is a key player in beverage industry and one of the largest franchisee of PepsiCo in the world. The company produces and distributes a wide range of carbonated soft drinks, non-carbonated drinks and packaged water sold under trademarks owned by PepsiCo.PepsiCo brands produced and sold by the company include Pepsi, Seven-up, Mirinda Orange, Mountain Dew, Tropicana Juices and many more.

Key Financial Metrics

Key Financial Metrics	Dec-21	Dec-22	Dec-23	Dec-24	Dec-25
Total Sales	89,583	1,33,906	1,63,211	2,04,813	2,22,256
Sales Growth (y-o-y)	-	*49.5%*	*21.9%*	*25.5%*	*8.5%*
Gross Profit Margins (%)	*53.5%*	*51.6%*	*52.9%*	*54.2%*	*53.9%*
EBITDA Margins (%)	*18.5%*	*20.8%*	*22.1%*	*23.0%*	*22.7%*
EBIT Margins (%)	*12.5%*	*16.2%*	*17.9%*	*18.4%*	*17.2%*
Net Profit Margins (%)	*8.3%*	*11.6%*	*12.9%*	*12.9%*	*13.8%*
Earning Per Share (in Rs.)	₹16.03	₹11.52	₹15.82	₹7.94	₹8.98
EPS Growth (y-o-y)	-	*(28.1%)*	*37.3%*	*(49.8%)*	*13.1%*
Dividend Per Share (in Rs.)	₹2.50	₹2.50	₹1.75	₹0.96	₹1.50
Dividend Growth (y-o-y)	-	*(0.0%)*	*(30.0%)*	*(45.1%)*	*56.1%*

Share Price - 5Y



Valuation & Return Metrics

Key Financial Metrics	Dec-21	Dec-22	Dec-23	Dec-24	Dec-25
Profit Growth	7.4x	1.6x	2.1x	2.6x	3.1x
Sales Growth	8.8x	13.2x	16x	20x	21.7x
EV/EBITDA	23.8x	33.1x	47.1x	48.4x	31.5x
Price/Earnings	58.5x	59.7x	80.4x	85.0x	55.8x
Return on Equity (%)	19.6%	33.8%	34.9%	22.4%	16.9%
Return on Capital Employed (%)	18.2%	28.9%	27.3%	20.9%	19.5%

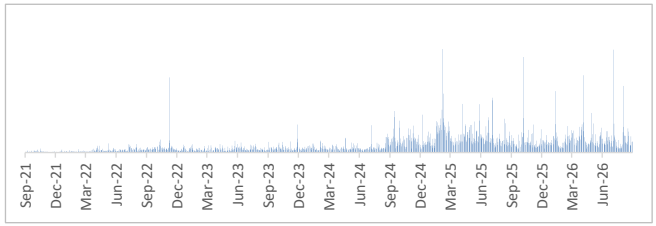
Capital Structure

Share Price as on 18-09-2026	421.95
Number of Share o/s (million)	3,381.00
Market Capitalization	**14,26,613**
Less: Cash & Equivalent	(21,257)
Add: Total Debt	29,414
Add: Minority Interest	1,817
Enterprise Value(as at 18th September,2026)	**14,36,586**

Top Shareholders

Top Shareholders	No.of Shares	% Holding	Market Value(Mn.)
Reference Share Price (Rs.)	421.95		
RJ Corp Limited	855.00	25.28%	3,60,767
Ravi Kant Jaipuria	565.00	16.71%	2,38,402
Varun Jaipuria	52.10	15.43%	21,984
Devyani Jaipuria	65.78	1.94%	27,756
GOVERNMENT PENSION FUNI	61.75	1.83%	26,055
GOVERNMENT OF SINGAPOR	46.30	1.37%	19,536
Nippon Life India Asset Manage	41.10	1.22%	17,342

Volume - 5Y



Managerial Remuneration

Managerial Remuneration	Designation	Remuneration (in Cr.)	% of Total Managerial Remuneration
Varun Jaipuria	Vice Chairman & ED	7.21	29.08%
Raj Pal Gandhi	Wholetime Director	8.82	35.58%
Rajinder Jeet Singh Bagga	Wholetime Director	6.91	27.87%
Rashmi Dhariwal	Non-Executive	0.10	0.40%
Ravi Batra	CRO & CS	1.75	7.06%

Shareholding Pattern



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*Disclaimer: This report is made a part of an **educational assignment** and is **meant for educational purpose only**. The author of this report is not liable for any losses due to action taken basis this report.*

All prices and calculations as of September 18th,2026 I Last Audited FY:Dec 2025 I H1 2026 actuals considered for FY 2026E estimates.

VARUN BEVERAGES LTD

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Balance Sheet (₹ in million, unless otherwise stated)

Particulars	Dec 2021A	Dec 2022A	Dec 2023A	Dec 2024A	Dec 2025A
ASSETS					
NON-CURRENT ASSETS					
(a) Property, plant and equipment	57279.71	54,415.78	68,031.32	1,06,225.51	1,38,373.67
(b) Capital work-in-progress	4966.08	6,066.32	19,222.22	11,623.43	2,663.04
(c) Right of use assets	0.00	9,155.01	10,347.07	13,631.22	13,690.47
(d) Goodwill	242.30	242.30	242.30	3,009.37	3,542.13
(e) Other intangible assets	5585.74	5,509.10	5,471.00	11,151.26	11,983.00
(f) Intangible assets under development	-	-	-	43.69	44.83
(g) Investment in associates and joint venture	-	-	179.32	534.47	1,632.62
(h) Financial assets					
(i) Investments	0.01	0.01	31.51	60.55	110.16
(ii) Loans	412.59	-	-	218.87	261.01
(iii) Other financial assets	8.04	486.80	622.67	987.26	1,128.25
(i) Deferred tax assets (Net)	24.07	-	-	196.31	244.40
(j) Other non-current assets	1839.23	6,266.77	5368.12	5,117.42	3,017.55
Total non-current assets	**70,357.77**	**82,142.09**	**1,09,515.53**	**1,52,799.36**	**1,76,691.13**
CURRENT ASSETS					
(a) Inventories	14,480.87	19,938.85	21,505.33	27,912.34	29,517.89
(b) Financial assets					
(i) Trade receivables	2,212.49	2,993.38	3,593.85	8,458.42	12,490.31
(ii) Cash and cash equivalents	1,507.50	1,543.32	2,422.12	22,662.83	17,841.77
(iii) Bank balances other than (ii) above	1,858.72	1,309.35	2,176.50	1,837.71	2,143.14
(iv) Loans	94.54	-	-	-	-
(iv) Other financial assets	2,276.86	3,977.06	7,388.23	8,356.16	11,721.11
(c) Current tax assets (Net)	11.08	-	3.11	48.72	59.66
(d) Other current assets	3,019.07	4,278.34	5,267.16	9,363.56	5,120.15
Total current assets	**25,461.13**	**34,040.30**	**42,356.30**	**78,639.74**	**78,894.03**
ASSETS CLASSIFIED AS HELD FOR SALE	-	-	-	-	66.40
TOTAL ASSETS	**95,818.90**	**1,16,182.39**	**1,51,871.83**	**2,31,439.10**	**2,55,651.56**
EQUITY AND LIABILITIES					
EQUITY					
(a) Equity share capital	4,330.33	6,495.50	6,496.50	6,763.02	6,763.98
(b) Other equity	36,468.75	44,528.30	62,868.91	1,59,335.27	1,89,023.06
Equity attributable to owners of the Parent Company	**40,799.08**	**51,023.80**	**69,365.41**	**1,66,098.29**	**1,95,787.04**
(c) Non-controlling interest	1,167.89	131.07	1,481.55	1,298.07	1,622.51
Total equity	**41,966.97**	**52,154.87**	**70,846.96**	**1,67,396.36**	**1,97,409.55**
LIABILITIES					
NON-CURRENT LIABILITIES					
(a) Financial liabilities					
(i) Borrowings	18,133.27	17,270.22	31,889.38	8,406.89	5,404.49
(ii)Other financial liabilities	312.63	-	-		
(ia) Lease liabilities	-	1,654.25	1,978.85	3,570.86	3,997.96
(b) Provisions	2,085.53	2,041.13	2,126.44	1,894.34	1,904.61
(c) Deferred tax liabilities (Net)	3,111.41	3,368.48	3,430.11	4,879.09	6,191.92
(d) Other non-current liabilities	6.73	5.94	68.40	47.31	3.58
Total non-current liabilities	**23,649.57**	**24,340.02**	**39,493.18**	**18,798.49**	**17,502.56**
CURRENT LIABILITIES					
(a) Financial liabilities					
(i) Borrowings	6,284.92	19,677.90	20,054.49	15,235.76	14,836.70
(ia) Lease liabilities	-	235.77	390.38	1,049.03	842.68
(ii) Trade payables					
(a) Total outstanding dues of micro enterprises and small enterprises	342.85	659.11	767.43	645.75	1,271.92
(b) Total outstanding dues of creditors other than micro and small enterprises	6,774.68	7,583.50	6,815.05	14,958.52	12,741.12
(iii) Other financial liabilities	13,066.44	5,593.90	7,638.39	7,043.41	5,953.85
(b) Other current liabilities	3,096.76	4,889.77	4,650.93	4,916.55	4,465.13
(c) Provisions	497.40	291.91	825.43	739.00	505.26
(d) Current tax liabilities (Net)	139.41	755.68	390.02	656.02	122.79
Total current liabilities	**30,202.46**	**39,687.54**	**41,532.12**	**45,244.04**	**40,739.45**
TOTAL LIABILITIES	**53,852.03**	**64,027.56**	**81,025.30**	**64,042.53**	**58,242.01**
TOTAL EQUITY AND LIABILITIES	**95,819.00**	**1,16,182.43**	**1,51,872.26**	**2,31,438.89**	**2,55,651.56**

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Statement Of Profit & Loss (₹ in million, unless otherwise stated)

Particulars	Dec 2021A	Dec 2022A	Dec 2023A	Dec 2024A	Dec 2025A
INCOME					
Revenue from operations	89,582.91	1,33,905.58	1,63,210.83	2,04,813.28	2,22,255.84
Other income	679.25	388.49	793.59	1,212.68	3,523.48
Total Income	**90,262.16**	**1,34,294.07**	**1,64,004.42**	**2,06,025.96**	**2,25,779.32**
EXPENSES					
Cost of materials consumed	39,689.13	64,170.92	70,264.61	82,937.43	93,370.62
Excise duty	1,350.61	2,174.16	2,784.82	4,736.78	5,402.05
Purchases of stock-in-trade	1,654.69	1,885.71	4,626.96	6,859.21	3,694.53
Changes in inventories of finished goods, intermediate goods, stock-in-trade and work-in-progress	(997.22)	(3,445)	(843)	(749.40)	89.14
Employee benefits expense	10,076.99	12,166.42	14,465.87	18,850.26	22,007.43
Finance costs	1,847.00	1,861.22	2,680.89	4,503.86	1,695.79
Depreciation and amortisation expense	5,312.62	6,171.89	6,809.08	9,473.86	12,164.63
Other expenses	21,262.26	29,072.39	35,816.21	45,068.29	47,198.38
Total expenses	**80,196.08**	**1,14,057.64**	**1,36,605.75**	**1,71,680.29**	**1,85,622.57**
Profit before share of loss of associates & joint venture and tax	**10,066.08**	**20,236.43**	**27,398.67**	**34,345.67**	**40,156.75**
Share of loss of associates and joint ventures	-	(0.06)	(4.79)	(14.78)	(60.27)
Profit before tax	**10,066.08**	**20,236.37**	**27,393.88**	**34,330.89**	**40,096.48**
TAX EXPENSE					
(a) Current tax	1,341.98	4,258.66	6,290.81	7,502.05	8,389.07
(b) Adjustment of tax relating to earlier years	350.06	226.91	20.55	5.28	16.90
(c) Deferred tax expense	913.52	249.66	64.11	480.71	1,070.09
Total tax expense	**2,605.56**	**4,735.23**	**6,375.47**	**7,988.04**	**9,476.06**
Net profit for the year	**7,460.52**	**15,501.14**	**21,018.41**	**26,342.85**	**30,620.42**
OTHER COMPREHENSIVE INCOME					
(A) Items that will not to be reclassified to Profit or Loss:					
(i) Re-measurement (loss)/gain on defined benefit plans	85.99	107.87	-28.16	288.77	265.91
(ii) Income tax relating to items that will not be reclassified to Profit or Loss	(18.93)	(27.02)	6.98	(67.99)	(67.34)
(B) Items that will be reclassified to Profit or Loss:					
(i) Exchange differences arising on translation of foreign operations	(365.92)	(3,799.27)	(58.83)	356.41	4,141.21
(ii) Income tax relating to items that will be reclassified to Profit or Loss					
Total other comprehensive income	(298.86)	(3,718.42)	(80.01)	**577.19**	**4,339.78**
Total comprehensive income for the year (including non-controlling interest)	**7,161.66**	**11,782.72**	**20,938.12**	**26,920.04**	**34,960.20**
NET PROFIT ATTRIBUTABLE TO:					
(a) Owners of the Company	6,940.52	14,974.33	20,559.22	25,946.33	30,364.89
(b) Non-controlling interest	520.00	526.81	458.91	396.52	255.53
OTHER COMPREHENSIVE INCOME ATTRIBUTABLE TO:					
(a) Owners of the Company	(298.87)	(3,154.79)	(56.45)	558.22	4,275.86
(b) Non-controlling interest	0.01	-563.63	-23.56	18.97	63.92
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:					
(a) Owners of the Company	6,641.65	11,819.54	20,502.77	26,504.55	34,640.75
(b) Non-controlling interest	520.01	-36.82	435.35	415.49	319.45
EARNINGS PER EQUITY SHARE (face value of ₹ 2 each)					
Basic (₹)	16.03	11.53	15.83	7.95	8.98
Diluted (₹)	16.03	11.52	15.82	7.94	8.98

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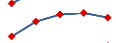
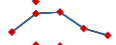
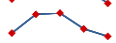
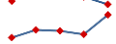
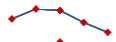
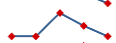
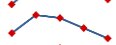
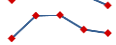
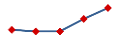
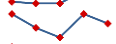
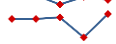
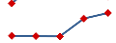
CashFlow Statement (₹ in million, unless otherwise stated)

Particulars	Dec 2021A	Dec 2022A	Dec 2023A	Dec 2024A	Dec 2025A
A. OPERATING ACTIVITIES					
Profit before tax and share of loss in associates and joint ventures	**10,066.08**	**20,236.43**	**27,398.39**	**34,345.67**	**40,156.75**
Adjustments to reconcile profit before tax to net cash flows:					
Depreciation on property, plant and equipment	5,254.92	5,830.99	6,409.04	8,386.95	10,634.17
Amortisation of intangible assets and right of use assets	57.70	340.90	400.02	1,086.91	1,530.46
Interest expense at amortised cost	1,850.37	1,854.49	2,680.99	4,503.86	1,695.79
Interest income at amortised cost	(145.16)	(228.29)	(238.00)	(419.00)	(317.65)
Gain on derecognition of financial instruments	-	0.00	(0.81)	(0.08)	0.00
Gain on sale of current investments	-	(3.67)	(3.51)	(22.47)	(806.64)
Excess provisions and liabilities written back	(58.38)	(9.20)	(322.36)	(646.15)	(5.35)
Share based payments	-	29.06	78.61	162.43	37.64
Loss on disposal/written off of property, plant and equipment (Net)	258.71	623.26	843.64	761.96	(32.20)
Bad debts and advances written off	-	25.71	3.24	28.73	4.12
Allowance for expected credit loss	58.92	73.51	69.47	84.85	70.86
Unrealised foreign exchange fluctuation	(1,098.50)	(1,287.68)	3.26	(493.15)	(3,282.76)
Operating profit before working capital changes	**16,243.96**	**27,485.51**	**37,321.98**	**47,780.51**	**49,685.19**
Working capital adjustments:					
Decrease/(Increase) in inventories	(5,192.85)	(5,568.33)	(1,601.73)	(4,787.70)	147.84
Increase in trade receivables	146.86	(1,233.80)	(730.18)	(1,332.15)	(2,851.03)
Decrease/(Increase) in current and non-current financial assets and other current and non-current assets	(921.85)	(3,257.13)	(4,572.18)	(5,224.30)	2,230.71
(Decrease)/Increase in current financial liabilities and other current and non-current liabilities and provisions	3,280.66	4,207.33	169.28	4,650.27	(5,238.06)
Total cash from operations	**13,556.50**	**21,633.58**	**30,587.17**	**41,086.63**	**43,974.65**
Income tax paid	(1,242.28)	(3,733.29)	(6,679.39)	(7,275.66)	(8,881.51)
Net cash flows from operating activities (A)	**12,314.22**	**17,900.29**	**23,907.78**	**33,810.97**	**35,093.14**
B. INVESTING ACTIVITIES					
Purchase of property, plant and equipment, right of use assets and intangible assets (including adjustment on account of capital work-in-progress, capital advances and capital creditors)	(8,348.00)	(18,009.92)	(32,640.49)	(37,790.10)	(27,391.04)
Proceeds from disposal of property, plant and equipment	193.51	510.93	701.31	386.37	267.15
Consideration paid for acquisition under business combination (Net)	-	-	-	(4,018.84)	-
Investment made in associates, joint ventures and others	-	(0.10)	(215.57)	(398.98)	(1,208.02)
Purchase of additional stake from minority of a subsidiary	-	-	(100.00)	(2,000.00)	0.00
Interest received	132.46	232.42	220.16	281.15	459.92
Proceeds from sale of current investments (Net)	0.70	3.67	3.51	22.47	806.64
Change in other bank balances	(1,010.83)	217.02	(867.59)	350.15	(284.04)
Net cash used in investing activities (B)	**(10,106.39)**	**(17,045.98)**	**(32,898.67)**	**(43,167.80)**	**(27,349.39)**
C. FINANCING ACTIVITIES					
Proceeds from long-term borrowings	8,548.06	14,777.20	24,016.61	17,711.27	3,839.41
Repayment of long-term borrowings	(6,408.51)	(11,373.59)	(12,765.22)	(55,084.16)	(7,103.22)
Repayment of lease liabilities	(188.65)	(234.40)	(295.07)	(1,558.65)	(1,081.08)
(Repayments)/Proceeds from short-term borrowings (Net)	(853.66)	(7.97)	3,812.66	1,856.96	(1,743.36)
Proceeds from issue of equity shares including share premium thereon (OIP & ESOPs)	-	-	44.41	75,118.80	85.44
Share issue expenses paid	-	-	-	(611.10)	(4.28)
Proceeds from share application money pending allotment	-	-	3.51	-	2.72
Dividend paid	(1,083)	(1,623.87)	(2,273.48)	(3,248.20)	(5,072.54)
Interest paid (inclusive of interest paid on lease liabilities)	(1,791.48)	(1,716.79)	(2,694.42)	(4,649.55)	(1,586.84)
Net cash used in/(generated from financing activities (C)	**(1,776.82)**	**(179.42)**	**9,849.00**	**29,535.37**	**12,664.65**
Net change in cash and cash equivalents (D=A+B+C)	**431.01**	**674.89**	**858.11**	**20,178.54**	**4,920.90**
Cash and cash equivalents at the beginning of year (E)	1,045.58	1,507.50	1,543.32	2,422.12	22,662.83
Unrealised exchange difference on translation of cash and cash equivalent in subsidiaries (F)	30.91	(639.07)	20.69	62.17	99.84
Cash and cash equivalents at the end of year (G=D+E+F)	**1,507.50**	**1,543.32**	**2,422.12**	**22,662.83**	**17,841.77**

VARUN BEVERAGES LTD

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Ratio Analysis

Year	Dec 2021A	Dec 2022A	Dec 2023A	Dec 2024A	Dec 2025A	Mean	Median	Trend
Sales Growth	36.6%	49.5%	21.9%	25.5%	8.5%	**28.4%**	**25.5%**	
EBITDA Growth	37.7%	68.5%	29.5%	30.5%	7.2%	**34.7%**	**30.5%**	
EBT Growth	143.5%	101.0%	35.4%	25.3%	16.8%	**64.4%**	**35.4%**	
Net Profit Growth	79.5%	107.8%	35.6%	25.3%	16.2%	**52.9%**	**35.6%**	
Dividend Growth	-	(0.0%)	(30.0%)	(45.1%)	56.1%	**(4.7%)**	**(15.0%)**	
Gross Margin	53.5%	51.6%	52.9%	54.2%	53.9%	**53.2%**	**53.5%**	
EBITDA Margin	18.5%	20.8%	22.1%	23.0%	22.7%	**21.4%**	**22.1%**	
EBIT Margin	12.5%	16.2%	17.9%	18.4%	17.2%	**16.5%**	**17.2%**	
EBT Margin	11.2%	15.1%	16.8%	16.8%	18.0%	**15.6%**	**16.8%**	
Net Profit Margin	8.3%	11.6%	12.9%	12.9%	13.8%	**11.9%**	**12.9%**	
Sales Expenses % Sales	89.5%	85.2%	83.7%	83.8%	83.5%	**85.1%**	**83.8%**	
Depreciation % Sales	5.9%	4.6%	4.2%	4.6%	5.5%	**5.0%**	**4.6%**	
Operating Income % Sales	18.5%	20.8%	22.1%	23.0%	22.7%	**21.4%**	**22.1%**	
Return on Capital Employed	18.2%	28.9%	27.3%	20.9%	19.5%	**22.9%**	**20.9%**	
Retained Earnings%	84.4%	78.3%	88.9%	87.9%	83.3%	**84.6%**	**84.4%**	
Return on Equity%	19.6%	33.8%	34.9%	22.4%	16.9%	**25.5%**	**22.4%**	
Retention Ratio%	84.4%	89.2%	88.9%	87.5%	83.3%	**86.7%**	**87.1%**	
Self Sustained Growth Rate	16.6%	30.1%	31.1%	19.6%	14.1%	**22.3%**	**19.6%**	
Interest Coverage Ratio	6.08x	11.66x	10.92x	8.36x	22.60x	**11.93x**	**13.09x**	
Debtor Turnover Ratio	38.69x	51.44x	49.55x	33.99x	21.22x	**38.98x**	**39.04x**	
Creditor Turnover Ratio	5.70x	5.70x	9.87x	7.60x	5.70x	**6.91x**	**7.16x**	
Inventory Turnover	3.51x	3.76x	3.71x	3.80x	3.57x	**3.67x**	**3.70x**	
Fixed Asset Turnover	0.99x	1.26x	1.22x	1.07x	0.91x	**1.09x**	**1.11x**	
Capital Turnover Ratio	1.08x	1.65x	1.67x	1.30x	1.21x	**1.38x**	**1.44x**	
Debtor Days	9.00	8.00	8.00	15.00	21.00	**12.20x**	**12.84x**	
Payable Days	64.00	48.00	37.00	64.00	53.00	**53.20x**	**51.04x**	
Inventory Days	131.00	116.00	106.00	114.00	111.00	**115.60x**	**112.52x**	
Cash Conversion Cycle (in days)	76.00	76.00	77.00	65.00	79.00	**74.60x**	**74.32x**	
CFO/Sales	13.7%	13.4%	14.6%	16.5%	15.8%	**0.15x**	**0.15x**	
CFO/Total Assets	12.9%	15.4%	15.7%	14.6%	13.7%	**0.14x**	**0.15x**	
CFO/Total Debt	50.4%	48.4%	46.0%	143.0%	173.4%	**0.92x**	**1.01x**	

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Dupont Analysis — Return on Equity & Return on Asset

	Dec 2021A	Dec 2022A	Dec 2023A	Dec 2024A	Dec 2025A
Net Profit	7,460.5	15,501.1	21,018.4	26,342.9	30,620.4
Average Shareholder Equity	38,019.5	45,911.4	60,194.6	1,17,731.9	1,80,942.7
Return on Equity	**19.6%**	**33.8%**	**34.9%**	**22.4%**	**16.9%**

ROE - Dupont Equation

	Dec 2021A	Dec 2022A	Dec 2023A	Dec 2024A	Dec 2025A
Net Profit	7,460.5	15,501.1	21,018.4	26,342.9	30,620.4
Revenue	89,582.9	1,33,905.6	1,63,210.8	2,04,813.3	2,22,255.8
Net Profit Margin (A)	**8.3%**	**11.6%**	**12.9%**	**12.9%**	**13.8%**
Revenue	89,582.9	1,33,905.6	1,63,210.8	2,04,813.3	2,22,255.8
Average Total Asset	90,201.3	1,06,000.6	1,34,027.1	1,91,655.5	2,43,545.3
Asset Turnover Ratio (B)	**0.99x**	**1.26x**	**1.22x**	**1.07x**	**0.91x**
Average Total Asset	90,201.3	1,06,000.6	1,34,027.1	1,91,655.5	2,43,545.3
Average Shareholder Equity	38,019.5	45,911.4	60,194.6	1,17,731.9	1,80,942.7
Equity Multiplier (C)	**2.37x**	**2.31x**	**2.23x**	**1.63x**	**1.35x**
Return on Equity (A*B*C)	**19.6%**	**33.8%**	**34.9%**	**22.4%**	**16.9%**

Return on Asset

	Dec 2021A	Dec 2022A	Dec 2023A	Dec 2024A	Dec 2025A
Net Profit	7,460.5	15,501.1	21,018.4	26,342.9	30,620.4
Average Total Asset	90,201.3	1,06,000.6	1,34,027.1	1,91,655.5	2,43,545.3
Return on Asset	**8.3%**	**14.6%**	**15.7%**	**13.7%**	**12.6%**

ROA - Dupont Equation

	Dec 2021A	Dec 2022A	Dec 2023A	Dec 2024A	Dec 2025A
Net Profit	7,460.5	15,501.1	21,018.4	26,342.9	30,620.4
Revenue	90,262.2	1,34,294.1	1,64,004.4	2,06,026.0	2,25,779.3
Net Profit Margin (A)	**8.3%**	**11.5%**	**12.8%**	**12.8%**	**13.6%**
Revenue	90,262.2	1,34,294.1	1,64,004.4	2,06,026.0	2,25,779.3
Average Total Asset	90,201.3	1,06,000.6	1,34,027.1	1,91,655.5	2,43,545.3
Asset Turnover Ratio (B)	**1.00x**	**1.27x**	**1.22x**	**1.07x**	**0.93x**
Return on Asset (A*B)	**8.3%**	**14.6%**	**15.7%**	**13.7%**	**12.6%**

Dupont Summary

- **ROE:** Declined 19.6% to 16.9% due to asset inefficiency and deleveraging, despite margin improvement.
- **ROA:** Decreased 14.6% to 12.6% as capital-intensive investments have not yet fully converted to asset productivity.
- **Net Profit Margin:** Improved from 11.5% to 13.6%, demonstrating strong operational efficiency and cost control at scale.
- **Asset Turnover:** Deteriorated from 1.27x to 0.93x, reflecting aggressive expansion with asset base outpacing revenue growth.
- **Equity Multiplier:** Declined from 2.37x to 1.35x due to strategic deleveraging and reduced financial leverage.
- Asset Turnover Ratio has been declining across the period.
- **Strategic Impact:** Company investing heavily in capacity; current low returns expected to normalize post-2026 as assets mature and utilization improves.

VARUN BEVERAGES LTD

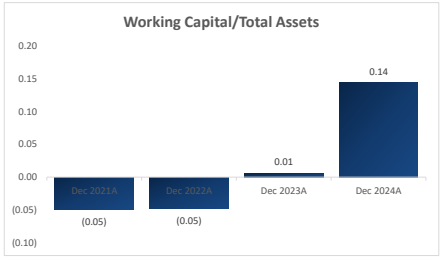
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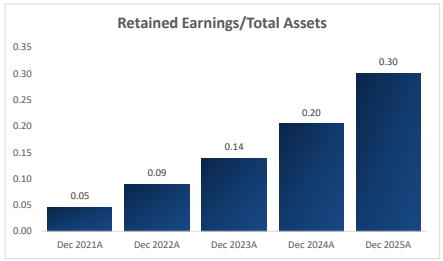
Altman Z-Score

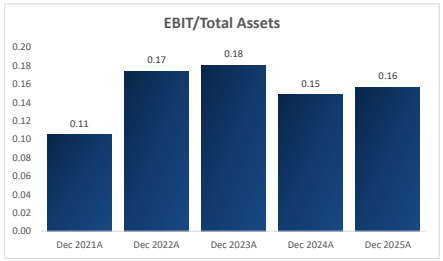
	Dec 2021A	Dec 2022A	Dec 2023A	Dec 2024A	Dec 2025A
X1: Working Capital / Total Assets (Liquidity)					
Working Capital (₹Mn)	(4,741)	(5,647)	824.18	33395.7	38154.58
Total Assets (₹Mn)	95,818.90	1,16,182.39	1,51,871.83	2,31,439.10	2,55,651.56
Working Capital/Total Assets	**(0.05)**	**(0.05)**	**0.01**	**0.14**	**0.15**
X2: Retained Earnings / Total Assets (Cumulative Profitability)					
Retained Earnings (₹Mn)	13967.42	27398.84	45663.5	68582.06	94072.7
Total Assets (₹Mn)	95,818.90	1,16,182.39	1,51,871.83	2,31,439.10	2,55,651.56
Retained Earnings/Total Assets	**0.05**	**0.09**	**0.14**	**0.20**	**0.30**
X3: EBIT / Total Assets (Operating Efficiency)					
EBIT (₹Mn)	11233.83	21709.16	29285.97	37636.85	38329.06
Total Assets (₹Mn)	95,818.90	1,16,182.39	1,51,871.83	2,31,439.10	2,55,651.56
EBIT/Total Assets	**0.11**	**0.17**	**0.18**	**0.15**	**0.16**
X4: Market Value of Equity / Total Liabilities (Leverage)					
Market Cap (₹Mn)	41,966.97	52,154.87	70,846.96	1,67,396.36	1,97,409.55
Total Liabilities (₹Mn)	53,852.03	64,027.56	81,025.30	64,042.53	58,242.01
Market Cap/Total Liabilities	**1.05**	**1.18**	**1.22**	**1.96**	**2.45**
X5: Sales / Total Assets (Asset Turnover)					
Sales (₹Mn)	89,582.91	1,33,905.58	1,63,210.83	2,04,813.28	2,22,255.84
Total Assets (₹Mn)	95,818.90	1,16,182.39	1,51,871.83	2,31,439.10	2,55,651.56
Sales/Total Assets	**0.93**	**1.15**	**1.07**	**0.88**	**0.87**
Altman Z-Score Calculation					
Z-Score Components					
1.2 × X1	-0.06	-0.06	0.01	0.17	0.18
1.4 × X2	0.06	0.12	0.19	0.29	0.42
3.3 × X3	0.35	0.57	0.60	0.49	0.52
0.6 × X4	0.63	0.71	0.73	1.17	1.47
1.0 × X5	0.93	1.15	1.07	0.88	0.87
Altman Z-Score	**1.91**	**2.50**	**2.60**	**3.01**	**3.46**
Zone	**GREY**	**GREY**	**GREY**	**SAFE**	**SAFE**

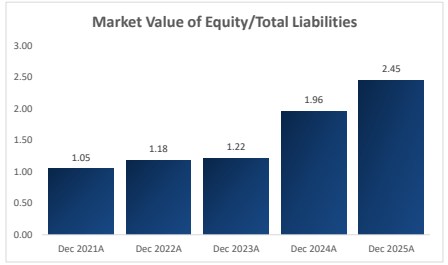
Interpretation

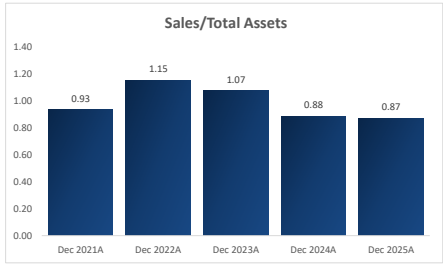
Z > 2.99: SAFE ZONE (Low bankruptcy risk)
1.81 < Z < 2.99: GREY ZONE (Moderate risk)
Z < 1.81: DISTRESS ZONE (High bankruptcy risk)

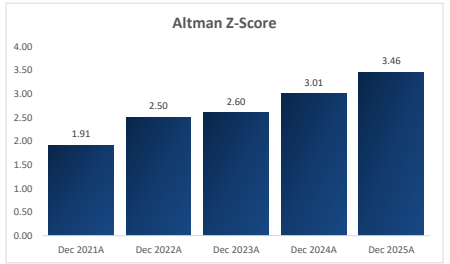












VARUN BEVERAGES LTD

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Intrinsic Growth Rate

Calculation of ROIC					
	Dec 2021A	**Dec 2022A**	**Dec 2023A**	**Dec 2024A**	**Dec 2025A**
Current Assets					
Inventories	14,480.9	19,938.9	21,505.3	27,912.3	29,517.9
Trade receivables	2,212.5	2,993.4	3,593.9	8,458.4	12,490.3
Other current asset	3,019.1	4,278.3	5,267.2	9,363.6	5,120.2
Total Current Assets	**19,712.4**	**27,210.6**	**30,366.3**	**45,734.3**	**47,128.4**
Current Liabilities					
Trade Payables	7,117.5	8,242.6	7,582.5	15,604.3	14,013.0
Other current liabilities	3,096.8	4,889.8	4,650.9	4,916.6	4,465.1
Provisions	497.4	291.9	825.4	739.0	505.3
Total Current Liabilities	**10,711.7**	**13,424.3**	**13,058.8**	**21,259.8**	**18,983.4**
Net Working Capital	**9,000.7**	**13,786.3**	**17,307.5**	**24,474.5**	**28,144.9**
Non Current Assets					
Land Freehold	7,203.1	7,797.6	7,287.9	8,490.0	9,434.5
Land Leasehold	5,752.3	-	-	-	-
Building	14,741.0	15,541.4	16,066.4	30,061.3	40,226.8
Plant and Equipment	39,689.0	43,694.3	45,317.8	85,269.7	1,11,401.0
Equipments	628.6	728.0	720.4	1,311.1	1,626.6
Furniture and Fixtures	293.4	290.2	270.3	687.2	724.9
Vehicles	2,391.5	2,064.2	1,247.6	6,754.3	6,342.7
Containers	4,490.9	5,427.9	4,795.0	6,764.4	8,064.5
Post - mix vending machines and refrigerators	12,080.0	11,981.8	9,463.2	14,626.2	18,183.4
Goodwill	242.3	242.3	242.3	3,009.4	3,542.1
CWIP	4,966.1	6,066.3	19,222.2	11,623.4	2,663.0
Other Intangible Assets	13,171.5	6,522.3	6,556.4	13,902.4	15,451.0
Gross Block	**1,05,649.7**	**1,00,356.4**	**1,11,189.4**	**1,82,499.5**	**2,17,660.6**
Less:Accumulated Depreciation and Amortisation	(31,573.2)	(33,210.2)	(30,765.8)	(49,710.3)	(62,253.9)
Net Non Current Assets	**74,076.4**	**67,146.2**	**80,423.7**	**1,32,789.2**	**1,55,406.7**
Invested Capital	**83,077.2**	**80,932.5**	**97,731.2**	**1,57,263.7**	**1,83,551.6**
EBIT	**11,233.8**	**21,709.2**	**29,286.0**	**37,636.9**	**38,329.1**
Marginal Tax Rate	*25.88%*	*23.40%*	*23.27%*	*23.27%*	*23.63%*
EBIT(1-T)	**8,326.0**	**16,629.3**	**22,470.1**	**28,879.6**	**29,270.7**
ROIC	**10.02%**	**20.55%**	**22.99%**	**18.36%**	**15.95%**

Calculation of Reinvestment Rate					
	Dec 2021A	**Dec 2022A**	**Dec 2023A**	**Dec 2024A**	**Dec 2025A**
Net Capex	2,841.87	11,327.10	25,130.10	31,948.71	14,959.26
Change in Working Capital	2,687.18	5,851.93	6,734.81	6,693.88	5,710.54
EBIT	**11,233.83**	**21,709.16**	**29,285.97**	**37,636.85**	**38,329.06**
Marginal Tax Rate	25.88%	23.40%	23.27%	23.27%	23.63%
EBIT(1-T)	**8,326.00**	**16,629.30**	**22,470.15**	**28,879.59**	**29,270.70**
Reinvestment	5,529.05	17,179.03	31,864.91	38,642.59	20,669.80
Reinvestment Rate	***66.41%***	***103.31%***	***141.81%***	***133.81%***	***70.62%***
5 Year Average	**103.19%**				
5 Year Median	**103.31%**				

Calculation of Growth Rate					
	Dec 2021A	**Dec 2022A**	**Dec 2023A**	**Dec 2024A**	**Dec 2025A**
ROIC	10.02%	20.55%	22.99%	18.36%	15.95%
Reinvestment Rate	66.41%	103.31%	141.81%	133.81%	70.62%
Intrinsic Growth	**6.66%**	**21.23%**	**32.60%**	**24.57%**	**11.26%**
5 Year Average	**19.26%**				
5 Year Median	**21.23%**				

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Assumptions

SCENARIO SWITCH → **Base**

	Particulars	Dec 2026F	Dec 2027F	Dec 2028F	Dec 2029F	Dec 2030F	Dec 2031F	Source / Basis
	Sales Growth	20.70%	20.70%	20.70%	20.70%	20.70%	20.70%	*(Base%-3%:4% regulatory risk + Campa Cola price war [Ventura Sec + Trendlyne + thecore.in])*
	COGS % Sales	48.14%	48.14%	48.14%	48.14%	48.14%	48.14%	*(Base 46.14% + 2%:crude surge Sep 26, packaging inflation + Twizza low margin EBITDA -76 bps [Trendlyne + Yahoo Finance Q2 26])*
	S&G Exp % Sales	22.00%	22.00%	22.00%	22.00%	22.00%	22.00%	*(Base% +2% - logistics cost surge + Twizza integration [Yahoo Finance])*
	Employee Benefit Expense	11.90%	11.90%	11.90%	11.90%	11.90%	11.90%	*(Base%+2%)*
Bear	Depreciation % Sales	5.76%	5.76%	5.76%	5.76%	5.76%	5.76%	*(Dep: 5.76% = Base 4.76% +1% Bear owing to Depreciation +33.6% on new plants [Yahoo Finance Q2 26])*
	Interest % Sales	0.80%	0.80%	0.80%	0.80%	0.80%	0.80%	*(Interest:Based on past 5Y historical interest % of sales)*
	Other Income % Sales	0.59%	0.59%	0.59%	0.59%	0.59%	0.59%	*(Smaller ±1% band for other income given its small share of sales)*
	Effective Tax Rate	23.63%	23.63%	23.63%	23.63%	23.63%	23.63%	
	Sales Growth	23.70%	23.70%	23.70%	23.70%	23.70%	23.70%	*(Based on past 5Y actual sales growth's median)*
	COGS % Sales	46.14%	46.14%	46.14%	46.14%	46.14%	46.14%	*(COGS: Base 46.14% = Actual in year ended December 2025)*
	S&G Exp % Sales	19.00%	19.00%	19.00%	19.00%	19.00%	19.00%	*(19% assumes S&G% of sales continues its FY21–25 decline (23.7% → 21.2%) as distribution and advertising costs are spread over a larger sales base)*
Base	Employee Benefit Expense	9.90%	9.90%	9.90%	9.90%	9.90%	9.90%	*(Based on actual FY25 employee benefit expense % of sales)*
	Depreciation % Sales	4.76%	4.76%	4.76%	4.76%	4.76%	4.76%	*(Dep: Base 4.76% = Avg Dep/Sales FY23-25)*
	Interest % Sales	0.76%	0.76%	0.76%	0.76%	0.76%	0.76%	*(Based on FY 2025)*
	Other Income % Sales	1.59%	1.59%	1.59%	1.59%	1.59%	1.59%	*(Based on FY 2025)*
	Effective Tax Rate	23.63%	23.63%	23.63%	23.63%	23.63%	23.63%	
	Sales Growth	26.70%	26.70%	26.70%	26.70%	26.70%	26.70%	*(Base% + 3%) - Kenya BOLT UP & XTREME FIZZ launch Sep 26 + alliance with Asahi Group Calpis [Trendlyne + CNBC-TV18])*
	COGS % Sales	44.14%	44.14%	44.14%	44.14%	44.14%	44.14%	*(Base%-2% owing to backward integration + premium mix)*
	S&G Exp % Sales	17.00%	17.00%	17.00%	17.00%	17.00%	17.00%	*(Base%-2%-operating leverage from international scale)*
Bull	Employee Benefit Expense	7.90%	7.90%	7.90%	7.90%	7.90%	7.90%	*(Base-2%)*
	Depreciation % Sales	3.76%	3.76%	3.76%	3.76%	3.76%	3.76%	*((Depreciation 3.76% = 4.76% -1%),owing to improved capacity utilization of new plants and deleveraging from strong cash flows of international business.)*
	Interest % Sales	0.24%	0.24%	0.24%	0.24%	0.24%	0.24%	*(Base%-1%- deleveraging from strong cash flows)*
	Other Income % Sales	2.59%	2.59%	2.59%	2.59%	2.59%	2.59%	*(Base%+1%)*
	Effective Tax Rate	23.63%	23.63%	23.63%	23.63%	23.63%	23.63%	*(Bull EBIT margin of 27% (vs FY24 peak 18.4%): assumes backward integration, premium mix and operating leverage from international scale)*

	WACC Components		Source/Basis
	Risk Free Rate	7.06%	India 10Y G-Sec as of 18 Sep 2026 - RBI - base for all scenarios
	Beta	0.87	Slightly higher than base beta (Q2 CY26 finance cost +55.8% YoY)
Bear	ERP	7.00%	Base case ERP + 0.5%
	Cost of Equity	13.15%	Ke=Rf+ERP*Beta
	Pre-tax Cost of Debt	8.40%	Base case % + 0.02%
	Effective Tax	23.63%	Same as actual FY25
	After-tax Cost of Debt	6.41%	Pretax Kd*(1-Effective Tax rate)
	Target Debt / TotalCapital	9.87%	From WACC sheet
	WACC	12.48%	WACC= Ke*Weight of Equity + after tax Kd*weight of debt
	Terminal g	4.00%	Conservative: RBI lower inflation bound 2% + 2% real and also due to competition from Reliance Campa + unseasonal rains hitting volume also in line with India's Beverage long term growth.
	Risk Free Rate	7.06%	India 10Y G-Sec as of 18 Sep 2026 - RBI - base for all scenarios
	Beta	0.85	From Beta sheet.
Base	ERP	6.50%	*Incwert 8th Ed 2026 India ERP range 6.5%-7.5% (benchmark 7.0%) & NYU Stern Total ERP India 7.08% Jan 26, base taken at low end.*
	Cost of Equity	12.59%	Ke=Rf+ERP*Beta
	Pre-tax Cost of Debt	8.38%	from annual reports.
	Effective Tax	23.63%	Same as actual FY25
	After-tax Cost of Debt	6.40%	Pretax Kd*(1-Effective Tax rate)
	Target Debt / Cap	9.87%	From WACC sheet
	WACC	11.98%	WACC= Ke*Weight of Equity + after tax Kd*weight of debt
	Terminal g	4.50%	*Reflects the long-term RBI inflation target of 4.0%, supplemented by a modest 0.5% premium to capture permanent structural volume expansion driven by India's historically low per-capita beverage consumption.(Elite Valuation and Zerodha).*
	Risk Free Rate	7.06%	India 10Y G-Sec as of 18 Sep 2026 - RBI - base for all scenarios
	Beta	0.82	From WACC sheet(lowest Beta)-lower risk, Africa + BevCo synergy.
	ERP	6.00%	Base Case-0.5%
	Cost of Equity	11.98%	Ke=Rf+ERP*Beta
Bull	Pre-tax Cost of Debt	6.88%	Base case % - 1.5%
	Effective Tax	23.63%	Same as actual FY25
	After-tax Cost of Debt	5.25%	Pretax Kd*(1-Effective Tax rate)
	Target Debt / Cap	9.87%	From WACC sheet
	WACC	11.32%	WACC= Ke*Weight of Equity + after tax Kd*weight of debt
	Terminal g	5.50%	5.5% = Base 4.5% + 1%: Africa inflation premium and a longer growth runway in under-penetrated markets; still well below India's nominal GDP growth (10.5% = 6.5% real + 4% inflation, per Damodaran).

Reinvestment rate	Growth	Implied ROIC	Reinvestment Rate	Assumption based on
Bear	21%	62.73%	33%	*Slower growth needs less capital. Reinvestment stays within the guided CY26 organic capex of ₹500–600 crore with only one new plant and no further acquisitions, well below the FY25 level of 70%.*
Base	24%	65.83%	36%	*Guided organic capex plus completing announced deals (Twizza integration in South Africa and the ~₹3,050 mn Devyani Food Industries Kenya acquisition), normalising from 70% in FY25 as the FY22–24 capacity build-out (above 100%) winds down.*
Bull	27%	68.46%	39%	*Faster growth needs more capital: the new Kenya plant for carbonated soft drinks, Crickley Dairy and the CALPIS dairy launch with Asahi, on top of the 70–80% capacity added in South Africa through Twizza.*

Implied ROIC (62.73%–68%) exceeds historical ROIC (16–24%) because growth is assumed to come largely from existing capacity; returns fade to a ROIC close to history in the terminal year.

Rates set close to Damodaran's Beverage (Soft) industry reinvestment rate of 33.9% (Jan 2026), below VBL's FY25 level of 70%.

Sources: VBL Q1 & Q2 CY2026 earnings calls/presentations (Quartr, Yahoo Finance transcript, Investing.com), Informist Media (Feb 2026), Just Drinks (Jul 2026), ScanX (Jul 2026), and VBL annual reports (historical reinvestment rates).

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Forecasting

Current Scenario---> Base

Particulars	Dec 2021A	Dec 2022A	Dec 2023A	Dec 2024A	Dec 2025A	Dec 2026F	Dec 2027F	Dec 2028F	Dec 2029F	Dec 2030F	Dec 2031F
Sales	**89,582.91**	**1,33,905.58**	**1,63,210.83**	**2,04,813.28**	**2,22,255.84**	**2,74,930.47**	**3,40,089.00**	**4,20,690.09**	**5,20,393.64**	**6,43,726.93**	**7,96,290.22**
Sales Growth	-	*49.48%*	*21.89%*	*25.49%*	8.52%	***23.70%***	***23.70%***	***23.70%***	***23.70%***	***23.70%***	***23.70%***
COGS	41,697.21	64,785.72	76,833.70	93,784.02	1,02,556.34	1,26,862.19	1,56,928.53	1,94,120.59	2,40,127.18	2,97,037.32	3,67,435.16
COGS % Sales	*46.55%*	*48.38%*	*47.08%*	*45.79%*	46.14%	***46.14%***	***46.14%***	***46.14%***	***46.14%***	***46.14%***	***46.14%***
COGS % Growth	-	*55.37%*	*18.60%*	*22.06%*	***9.35%***	***23.70%***	***23.70%***	***23.70%***	***23.70%***	***23.70%***	***23.70%***
Gross Profit	**47,885.70**	**69,119.86**	**86,377.13**	**1,11,029.26**	**1,19,699.50**	**1,48,068.28**	**1,83,160.46**	**2,26,569.49**	**2,80,266.46**	**3,46,689.62**	**4,28,855.06**
Gross Margins	*53.45%*	*51.62%*	*52.92%*	*54.21%*	*53.86%*	*53.86%*	*53.86%*	*53.86%*	*53.86%*	*53.86%*	*53.86%*
Selling And General Expenses	21,262.26	29,072.39	35,816.21	45,068.29	47,198.38	52,236.79	64,616.91	79,931.12	98,874.79	1,22,308.12	1,51,295.14
S&G Exp % Sales	*23.73%*	*21.71%*	*21.94%*	*22.00%*	21.24%	***19.00%***	***19.00%***	***19.00%***	***19.00%***	***19.00%***	***19.00%***
Employee benefits expense	10,076.99	12,166.42	14,465.87	18,850.26	22,007.43	27,223.19	33,675.09	41,656.08	51,528.57	63,740.85	78,847.43
Employee benefits expense % S	*11.25%*	*9.09%*	*8.86%*	*9.20%*	9.90%	***9.90%***	***9.90%***	***9.90%***	***9.90%***	***9.90%***	***9.90%***
EBITDA	**16,546.45**	**27,881.05**	**36,095.05**	**47,110.71**	**50,493.69**	**68,608.30**	**84,868.47**	**1,04,982.29**	**1,29,863.10**	**1,60,640.65**	**1,98,712.49**
EBITDA Margins	*18.47%*	*20.82%*	*22.12%*	*23.00%*	*22.72%*	*24.95%*	*24.95%*	*24.95%*	*24.95%*	*24.95%*	*24.95%*
Depreciation	5,312.62	6,171.89	6,809.08	9,473.86	12,164.63	13,086.69	16,188.24	20,024.85	24,770.74	30,641.40	37,903.41
Depreciation % Sales	*5.93%*	*4.61%*	*4.17%*	*4.63%*	5.47%	***4.76%***	***4.76%***	***4.76%***	***4.76%***	***4.76%***	***4.76%***
EBIT	**11,233.83**	**21,709.16**	**29,285.97**	**37,636.85**	**38,329.06**	**55,521.61**	**68,680.23**	**84,957.45**	**1,05,092.36**	**1,29,999.25**	**1,60,809.07**
EBIT Margins	*12.54%*	*16.21%*	*17.94%*	*18.38%*	*17.25%*	*20.19%*	*20.19%*	*20.19%*	*20.19%*	*20.19%*	*20.19%*
Interest	1,847.00	1,861.22	2,680.89	4,503.86	1,695.79	2,097.69	2,594.85	3,209.82	3,970.55	4,911.57	6,075.62
Interest % Sales	*2.06%*	*1.39%*	*1.64%*	*2.20%*	0.76%	***0.76%***	***0.76%***	***0.76%***	***0.76%***	***0.76%***	***0.76%***
Other Income	679.25	388.49	793.59	1,212.68	3,523.48	4,358.54	5,391.52	6,669.31	8,249.94	10,205.17	12,661.01
Other Income % Sales	*0.76%*	*0.29%*	*0.49%*	*0.59%*	*1.59%*	***1.59%***	***1.59%***	***1.59%***	***1.59%***	***1.59%***	***1.59%***
Share Of Associates	-	(0.06)	4.79	(14.78)	(60.27)	(60.27)	(60.27)	(60.27)	(60.27)	(60.27)	(60.27)
Earnings Before Tax	**10,066.08**	**20,236.37**	**27,403.46**	**34,330.89**	**40,096.48**	**57,722.19**	**71,416.64**	**88,356.66**	**1,09,311.48**	**1,35,232.58**	**1,67,334.20**
EBT % Sales	*11.24%*	*15.11%*	*16.79%*	*16.76%*	*18.04%*	*21.00%*	*21.00%*	*21.00%*	*21.01%*	*21.01%*	*21.01%*
Tax	2,605.56	4,735.23	6,375.47	7,988.04	9,476.06	13,641.57	16,878.00	20,881.46	25,833.74	31,959.71	39,546.34
Effective Tax Rate	*25.88%*	*23.40%*	*23.27%*	*23.27%*	*23.63%*	*23.63%*	*23.63%*	*23.63%*	*23.63%*	*23.63%*	*23.63%*
Net Profit	**7,460.52**	**15,501.14**	**21,027.99**	**26,342.85**	**30,620.42**	**44,080.62**	**54,538.64**	**67,475.20**	**83,477.73**	**1,03,272.87**	**1,27,787.86**
Net Profit Margins	*8.33%*	*11.58%*	*12.88%*	*12.86%*	*13.78%*	*16.03%*	*16.04%*	*16.04%*	*16.04%*	*16.04%*	*16.05%*
No of Equity Shares	433.03	649.55	1299.30	3381.51	3381.99						
Earnings Per Share	**16.03**	**11.52**	**15.82**	**7.94**	**8.98**						
EPS Growth %	-	*(28.13%)*	*37.33%*	*(49.81%)*	*13.10%*						
Dividend Per Share	2.50	2.50	1.75	0.96	1.50						
Dividend Payout Ratio	*15.60%*	*21.70%*	*11.06%*	*12.10%*	*16.70%*						
Retained Earnings	*84.40%*	*78.30%*	*88.94%*	*87.90%*	*83.30%*						

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Regression Beta

Regression Beta - 2 Years daily

VBL Daily Return			Nifty Daily Returns	
Date	**Closing Price**	**Returns**	**Closing Price**	**Returns**
01-Jan-2024	1242.5		21934.7	
02-Jan-2024	1236.15	(0.5%)	21865.25	(0.3%)
03-Jan-2024	1225.8	(0.8%)	21771.4	(0.4%)
04-Jan-2024	1260	2.8%	21934.4	0.7%
05-Jan-2024	1279.15	1.5%	21974.6	0.2%
08-Jan-2024	1269.5	(0.8%)	21770.75	(0.9%)
09-Jan-2024	1297.55	2.2%	21815.15	0.2%
10-Jan-2024	1268.7	(2.2%)	21885.8	0.3%
11-Jan-2024	1278.1	0.7%	21942.15	0.3%
12-Jan-2024	1265.05	(1.0%)	22159.25	1.0%

Adjusted Beta	
Levered Raw Beta	0.78
Raw Beta Weight	67%
Market Beta	1.00
Market Beta Weight	33%
Adjusted Beta	**0.85**

Blume's Adjustment: 2/3 is Raw beta Weight and 1/3 is Market Beta Weight

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Weighted Average Cost of Capital

All figures are in INR unless stated otherwise

Peer Comps

Name of the Comp	Country	Total Debt	Total Equity	Tax Rate	Debt/Equity	Debt/Capital	Levered Beta	Unlevered Beta
Varun Beverages	India	25,080.0	14,26,992.7	23.63%	1.76%	1.73%	0.85	0.84
Hatsun Agro	India	18,380.0	2,53,734.5	25.17%	7.24%	6.75%	0.91	0.86
Bikaji Foods	India	2,170.0	1,45,491.9	25.17%	1.49%	1.47%	1.11	1.10
Godrej Agrovet	India	15,740.0	1,27,291.8	25.17%	12.37%	11.00%	0.86	0.79
L T Foods	India	16,100.0	1,46,956.2	25.17%	10.96%	9.87%	1.84	1.70
Zydus Wellness	India	32,030.0	1,65,977.8	25.17%	19.30%	16.18%	0.82	0.72
Average					**10.27%**	**9.06%**	**1.11**	**1.03**
Median					**10.96%**	**9.87%**	**0.91**	**0.86**

Cost of Debt

Pre Cost of Debt	8.38%
Tax Rate	23.63%
Post Tax Cost of Debt	**6.40%**

Capital Structure

	Amount (Mn)	Current	Target
Total Debt	25,080.0	1.73%	9.87%
Total Equity	14,26,992.7	98.27%	90.13%
Total Capitalization	**14,52,072.7**	**100.00%**	**100.00%**
Debt/Equity		**1.76%**	**10.96%**

Notes:

1. Tax Rate considered as marginal tax rate for the country.

2. Levered beta is based on 2-year daily regression data (see Beta tab).

3. Unlevered Beta = Levered Beta / (1 + (1-Tax Rate) x Debt/Equity)

4. Levered Beta (target) = Unlevered Beta x (1 + (1-Tax Rate) x Debt/Equity)

Source:TopStock Research and Screener.in

Cost Of Equity

Risk Free Rate	7.06%
Equity Risk Premium	6.50%
Levered Beta	0.85
Cost of Equity	**12.59%**

Levered Beta	
Comps median Unlevered Beta	0.86
Target Debt/Equity	10.96%
Tax Rate	23.63%
Levered Beta(Bottom-up Beta supports the beta range used in WACC)	0.94

Weighted Average Cost of Capital

Cost of Equity	12.59%
Equity Weight	90.13%
Cost of Debt	6.40%
Debt Weight	9.87%
WACC	**11.98%**

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Discounted Cash Flow

Current Scenario---> Base

Calculation of PV of FCFF (in miilion)

Calculation of PV of FCFF	Dec 2025A	Dec 2026F	Dec 2027F	Dec 2028F	Dec 2029F	Dec 2030F	Dec 2031F
EBIT	38,329.06	55,521.61	68,680.23	84,957.45	1,05,092.36	1,29,999.25	1,60,809.07
Tax Rate	23.63%	23.63%	23.63%	23.63%	23.63%	23.63%	23.63%
EBIT(1-T)	29,270.70	42,400.11	52,448.93	64,879.33	80,255.73	99,276.34	1,22,804.83
Less: Reinvestment Rate	70.62%	36.00%	36.00%	36.00%	36.00%	36.00%	36.00%
Free Cash Flow to Firm	**8,600.90**	**27,136.07**	**33,567.32**	**41,522.77**	**51,363.67**	**63,536.86**	**78,595.09**
Mid Year Convention		0.50	1.50	2.50	3.50	4.50	5.50
Discounting Factor		0.95	0.84	0.75	0.67	0.60	0.54
PV of FCFF		**25,643.59**	**28,327.75**	**31,292.88**	**34,568.37**	**38,186.71**	**42,183.80**

Expected Growth	19.26%
Terminal Growth	4.50%
WACC	11.98%

Calculation of Terminal Value	
FCFF(n+1)	₹82,131.9
WACC	11.98%
Terminal Growth Rate	4.50%
Terminal Value	**₹10,98,176.5**

Calculation of Equity Value per Share	
PV of FCFF	₹2,00,203.1
PV of Terminal Value	₹5,89,416.6
Value of Operating Assets	**₹7,89,619.7**
Add: Cash and Bank Balances	₹19,984.9
Less: Debt	₹24,239.2
Less: Minority Interest	₹1,622.5
Value of Equity	**₹7,83,742.9**
No of Shares	**3,381.90**
Equity Value per Share	**₹231.75**

Share Price	₹421.95
Discount/Premium	**0.82x**

VARUN BEVERAGES LTD

NSE: VBL | BSE: 540180

Comparable Company Valuation

		Market Data(Mn)				Financials(Mn)				Valuation(Mn)		
Company	**Ticker**	**Share Price**	**Share O/S**	**Equity Value**	**Net Debt**	**Enterprise Value**	**Revenue**	**EBITDA**	**Net Income**	**EV/Revenue**	**EV/EBITDA**	**P/E**
Varun Beverages	**VBL**	**422**	**3,381.90**	**14,26,993**	**3,730**	**14,30,723**	**2,41,260**	**56,460**	**34,090**	**5.93x**	**25.34x**	**43.51x**
Hatsun Agro	HATSUN	1,139	222.75	2,53,735	1,778	2,55,513	1,04,130	11,720	3,650	2.45x	21.80x	69.52x
Bikaji Foods	BIKAJI	580	250.74	1,45,492	2,990	1,48,482	28,720	4,150	2,700	5.17x	35.78x	53.89x
Godrej Agrovet	GODREJA	662	192.40	1,27,292	8,650	1,35,942	1,04,740	8,340	4,250	1.30x	16.30x	29.95x
L T Foods	LTFOODS	423	347.25	1,46,956	2,990	1,49,946	1,16,330	12,450	6,400	1.29x	12.04x	22.96x
Zydus Wellness	ZYDUSWE	522	318.27	1,65,978	29,640	1,95,618	45,370	5,960	1,880	4.31x	32.82x	88.29x
High										5.17x	35.78x	88.29x
75th Percentile										4.31x	32.82x	69.52x
Average										**2.90x**	**23.75x**	**52.92x**
Median										**2.45x**	**21.80x**	**53.89x**
25th Percentile										1.30x	16.30x	29.95x
Low										1.29x	12.04x	22.96x

Varun Beverages Comps Valuation			
Implied Enterprise Value	5,92,000	12,30,908	18,36,970
Less:Net Debt	(3,730)	(3,730)	(3,730)
Implied Market Value	5,88,270	12,27,178	18,33,240
Shares Outstanding	3,381.90	3,381.90	3,381.90
Implied Value per Share	**174**	**363**	**542**
	Overvalued	*Overvalued*	*Undervalued*

Source: Ticker, Screener.in and Trendlyne

VARUN BEVERAGES LTD

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Football Field Analysis

Valuation Method	Low	High	Base	Range (High − Low)
Comparables value	₹173.95	₹542.07	₹362.87	₹368.13
DCF (Bear – Bull)	**₹113.27**	**₹429.68**	**₹231.75**	₹316.41
52-Week Range	₹381.00	₹558.00	₹469.50	₹177.00
Current Market Price (CMP)	₹421.95			

